

HARAR MICROFINANCE INSTITUTION (HMFI)

RISK, COMPLIANCE & AUDIT COMMITTEE

Report to the Board of Directors – Q3 FY2025/26

Reporting Period: January 1 – March 31, 2026

Date of Report: 20/4/2026

Submitted by: Committee Chairperson

1. Introduction

The Risk, Compliance & Audit Committee (RCAC) met on 20/4/2026 to review the effectiveness of HMFI's internal audit function, risk management framework, and compliance with NBE directives. The committee examined the Q3 Risk Department report, including inherent risk scores for credit, operational, strategic, and liquidity risks, as well as the CAMEL components and the detailed audit and compliance findings. This report summarizes our assessment and recommendations to the Board.

The committee operates under a combined mandate derived from the Board Audit Committee charter and the Risk Management & Compliance Sub-Committee charter, ensuring independent oversight of audit, risk, and compliance.

2. Internal Audit Function – Critical Weakness (Score 2)

The inherent risk score for Internal Audit & Compliance (Section 2.2.10) is the lowest in the entire report: **2 (Weak)**. The key findings from the risk report are:

- The internal audit department provides very weak performance, with limitations on scope and depth of audit.
- It failed to submit its risk-based audit report to the NBE on a quarterly basis, as required by Directive MFI/31/2020.
- Compliance gaps are identified but not addressed in a timely manner.

- The function lacks sufficient capacity (staff, skills) and independence.

The committee has reviewed the internal audit plan for the year. The plan exists, but its execution has been incomplete. For example, no risk-based audit report was submitted to NBE during Q3. This exposes HMFI to regulatory sanctions.

Recommendations to the Board:

- Approve the recruitment of internal auditor with experience in MFI risk-based auditing.
- Require that all internal audit reports be submitted to the committee and to NBE within 15 days of quarter end, with a remediation tracking log.

3. Compliance Monitoring – Also Weak (Score 2)

The risk report notes that compliance monitoring is irregular, reporting is not timely, and accuracy issues have been identified (Section 3.2.2 – Operational Management Risk). Specific compliance breaches from the CAMEL section (pages 28-30) include:

- Failure to report internal audit report to NBE quarterly (Directive MFI/31/2020).
- Appointment of Board of Directors members not yet approved by NBE (Directive MFI/21/2022).
- Paid-up capital increase (guarantee fund transfer) reviewed by DARA but not yet approved by NBE.

These are not minor breaches. They indicate a systemic weakness in the compliance function.

Action: establish a formal compliance function, even if it starts as a single designated officer. The compliance officer will maintain a monthly checklist of all NBE reporting deadlines and report directly to this committee.

4. Risk Management Framework – Moderate (Scores 3 and 4)

The risk report shows that HMFI has a well-defined risk appetite and KRIs (Score 5) and strong board oversight for credit risk (Score 5). However, several inherent risk areas are rated moderate or weak:

Risk Area	Inherent Score	Management Score

Risk Area	Inherent Score	Management Score
Credit risk (NPL, concentration)	3 and 2	3 (Portfolio diversification)
Operational risk – internal controls	4 (Good)	2 (Compliance & audit)
Strategic risk – management competence	3 (Moderate)	4 (Good)
Liquidity risk – forecasting	2 (Weak)	4 (Good)

The committee is particularly concerned about **concentration risk** (40-50% in a single sector) and the **high NPL ratio (7.6%)**. The credit risk management score for portfolio diversification is only 3 (Moderate), and exposure limits are defined but not fully enforced.

Actions taken:

- We have asked management to enforce the existing exposure limits immediately and report any breaches to the committee monthly.

5. Compliance with NBE Prudential Ratios (From CAMEL)

The CAMEL report sets specific quarterly targets that must be maintained:

- **Liquidity ratio** – NBE minimum 20%. Actual: 384.5% – compliant.
- **Capital adequacy ratio** – NBE minimum 12%. Actual: 120.68% – compliant.
- **PAR (NPL ratio)** – internal target <5% (the committee notes the charter says <5% but the risk report shows 7.6% – not met).

The committee has reviewed the NPL trend. The ratio increased from 6.5% in Q2 to 7.6% in Q3. Management has not yet implemented a formal write-off policy for loss NPLs, and a significant volume of youth loan NPLs has been excluded from provisioning reports.

Action: The committee directs management to:

- Recognize all hidden youth loan NPLs in the next quarterly report.

- Implement the write-off policy for loans that have been in loss category for more than 365 days.
- Submit a plan to reduce the NPL ratio to below 5% within 180 days.

6. Related Party Transactions and External Audit

The committee reviewed the list of related party transactions for Q3. No material related party transactions were reported. However, the external audit for the financial year ended June 30, 2025 has not yet been submitted to NBE, violating Directive MFI/14/2002.

Action: The committee has instructed management to finalize the external audit report and submit it to NBE within 30 days. The committee will review the external auditor's management letter and management's response at its next meeting.

Recommendation to the Board: Consider whether the current external auditor should be reappointed given the repeated delays. The committee will provide a recommendation after reviewing the outstanding audit.

7. Risk Mitigation Plan Implementation

The committee acknowledges that the Q3 risk report – with its inherent risk scores, CAMEL analysis, and stress tests – represents a solid risk identification and measurement framework. The committee also notes that **HMFI has already developed a consolidated risk mitigation plan** that lists all material risks (credit concentration, NPL, audit weakness, compliance gaps, forecasting, ALM mismatch, etc.), along with agreed actions, responsible owners, and deadlines.

However, the committee finds that **departments are failing to implement the plan**. Despite the existence of clear mitigation actions, progress remains slow. For example:

- The concentration risk limit (40-50%) has not been reduced, even though the plan likely requires diversification.
- Internal audit weaknesses (Score 2) persist, with no tangible improvement in independence or reporting to NBE.

- Cash flow forecasting accuracy has not improved from 70-80%, despite being identified as a critical risk.
- Hidden youth loan NPLs have not been recognised or provisioned.

The committee has reviewed management's quarterly updates against the mitigation plan and found that many deadlines have passed without completion, and no consequences for non-performance have been applied.

Actions already taken by the committee:

- The committee has given the CEO demanding a status report on each overdue mitigation action within 14 days.
- We have requested that the CEO personally present the implementation progress to the committee at the next meeting.

Recommendation to the Board:

- The Board should require the CEO to sign a quarterly attestation confirming which mitigation actions have been completed and explaining delays.
- For repeated failure to implement critical risk controls (e.g., reducing concentration, fixing internal audit), the Board should consider performance consequences for responsible senior managers.
- The committee will escalate any action overdue by more than 90 days directly to the Board for intervention.

9. AML/CFT/KYC Compliance

The committee reviewed the AML/CFT/KYC guidelines. They are documented, but the risk report did not assess their effectiveness. The committee notes that the new digital savings channels (TeleBirr, e-Birr) may pose higher money laundering risks because transactions are not face-to-face.

Action: The committee requests that the compliance officer conduct a targeted AML risk assessment of digital channels and report back within 90 days.

10. Summary of Recommendations to the Board

Based on the Q3 risk report and the committee's review, we request the Board to approve the following actions:

#	Recommendation
1	Submit all outstanding internal audit reports to NBE within 30 days and ensure quarterly submission thereafter.
2	Establish a dedicated compliance officer position and require a monthly compliance checklist with CEO certification.
3	Mandate management to recognise hidden youth loan NPLs, implement the write-off policy, and present a plan to reduce NPL ratio to <5% within 180 days.
6	Finalize and submit the external audit report to NBE within 30 days.
7	Require the different departments to produce a quarterly integrated risk report covering all risk categories, with mitigation status.
8	Conduct an AML risk assessment for digital savings channels within 90 days.
9	Accept this report as the Q3 update from the Risk, Compliance & Audit Committee.

11. Conclusion

The Risk, Compliance & Audit Committee finds that HMFI has strong governance in some areas (board oversight, risk appetite) but critical weaknesses in internal audit (Score 2), compliance monitoring (Score 2), and enforcement of risk limits (e.g., concentration, NPL). The outstanding regulatory breaches are serious and must be resolved immediately. The committee has identified clear actions, and with the Board's support, we expect to see significant improvement by the end of Q4.

The committee will hold its next quarterly meeting as scheduled and report progress.

Respectfully submitted,

Chairperson, Risk, Compliance & Audit Committee